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CXMT Corp | Asia Pacific

2Q26 results preview: DRAM upcycle continues; China CSP LTA in focus

Focus areas should include capacity expansion/allocation plans, and plans for LTAs. 2Q26 should extend strong earnings ramp on higher DRAM pricing and continued capacity expansion.

First major checkpoint after the July IPO: We initiated coverage of CXMT this week at OW ([China DRAM Going Mainstream](#); [Initiate CXMT at OW](#)). Our PT is Rmb88, implying an 18.5x 2027e P/E (vs global peers' 4.4x, reflecting CXMT's stronger growth profile). We expect CXMT to benefit from: 1) strong China domestic AI server market demand; and 2) continued capacity expansion even if prices moderate in a memory downcycle, given DRAM's strategic importance in China. The upcoming 2Q26 earnings results provides an important checkpoint; key questions include:

- CXMT's capacity expansion plan in the DRAM upcycle, any acceleration?
- CXMT's DRAM capacity allocation for HBM production?
- Considerations around selling DRAM to foreign brands given the severe global shortage?
- Long-term agreements (LTAs) with Chinese cloud service providers (CSP)?

LTA commentaries would significantly improve earnings visibility: Reuters reported that CXMT has signed a 5-year agreement with Bytedance worth over US \$7bn ([link](#)), and signed a long-term supply agreement with Tencent worth over Rmb20bn ([link](#)), although not confirmed by CXMT. Any confirmation or commentary from the company on LTAs would provide visibility into CSP server demand beyond the current DRAM upcycle, improving earnings visibility into the next few years. See examples from global peers ([Exhibit 1](#)).

2Q26 revenue and net income likely to exceed company guidance: The company already guided 1H26 revenue and attributable net profit to be Rmb110-120bn and Rmb50-57bn, respectively. However, we project 1H26 revenue of ~Rmb136bn, and 1H26 attributable net profit of ~Rmb65bn. Our forecasts are supported by our expectations of the company's stronger capacity expansion and further increases in DRAM ASPs. Looking to 3Q26, we forecast revenue to rise 35% Q/Q and 590% Y/Y, with gross margin continuing to rise to 77%, helped by continued capacity expansion and further increases in DRAM ASPs, as we see 3Q26 DRAM contract prices are tracking +15% Q/Q ([Memory – A Small Wrinkle](#)).

Maintain price target Rmb88: This implies 18.5x our 2027e EPS, which we believe is justified by CXMT's strong growth profile; we project a 140% 2025-28e revenue CAGR.

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CXMT Corp (688825.SS, 688825 CG)

Greater China Technology Semiconductors | China

Stock Rating	Overweight
Industry View	Attractive
Price target	Rmb88.00
Up/downside to price target (%)	57
Shr price, close (Aug 26, 2026)	Rmb56.10
52-Week Range	Rmb61.80-38.11
Sh out, dil, curr (mn)	60,193
Mkt cap, curr (mn)	Rmb3,376,827.3
EV, curr (mn)	Rmb3,486,707.8
Avg daily trading value (mn)	Rmb33,500

Fiscal Year Ending	12/25	12/26e	12/27e	12/28e
EPS (Rmb)**	0.0	3.0	4.8	6.3
Prior EPS (Rmb)**	-	-	-	-
EPS (Rmb)\$	-	2.5	4.2	5.2
Revenue, net (Rmb mn)	61,799.3	388,869.4	643,077.2	850,095.9
EBITDA (Rmb mn)	35,859.1	312,302.1	508,674.1	668,090.4
ModelWare net inc (Rmb mn)	1,874.9	189,693.0	319,242.9	423,535.0
P/E	-	18.7	11.8	8.9
P/BV	-	12.3	6.0	3.6
RNOA (%)	4.2	85.3	110.2	126.5
ROE (%)	4.5	334.2	105.0	67.9
EV/EBITDA	-	11.0	6.2	4.2
Div yld (%)	-	0.0	0.0	0.0
FCF yld ratio (%)**	-	3.3	7.2	10.4
Leverage (EOP) (%)	152.1	(49.8)	(84.8)	(101.3)

Unless otherwise noted, all metrics are based on Morgan Stanley ModelWare framework

** = Based on consensus methodology

\$ = Consensus data is provided by Refinitiv Estimates

e = Morgan Stanley Research estimates

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AlphaSignals Earnings Preview

Focus KPI	Focus KPI Surprise	Likely impact to consensus EPS*
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2Q26 revenue and GM, 2H26 guidance  Likely upside surprise  Modest revision higher

- 2Q earnings likely to exceed company guidance
- 1H capex should be a key focus for assessing the pace of capacity expansion
- Any 2H revenue guidance or LTA commentaries would improve earnings visibility

*Likely impact to consensus EPS is for the next 12 months
Source: Company data, Morgan Stanley Research

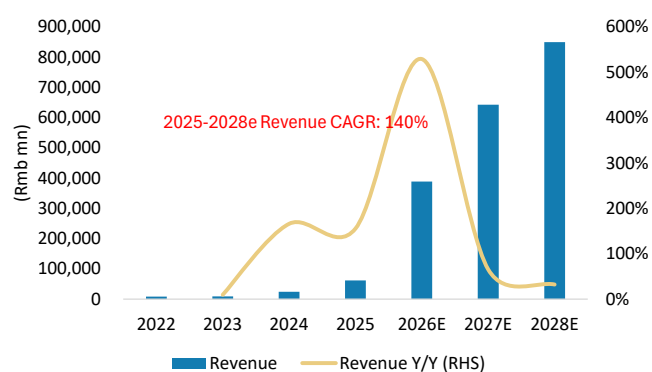
Key Exhibits and Charts

Exhibit 1: What global memory vendors are saying about LTA

Dimension	Samsung	SK hynix	Micron	SanDisk	Kioxia
Allocation	60–70% of capacity	Not disclosed ("appropriate level")	~50%+ of revenue (target)	>50% of FY27 bits, ~¼ of FY28 bits	50% of volume by CY2028 (target)
Duration	Rolling 5-yr (5+1 option)	~5-yr (varies)		Up to 5-yr	
Reported customers	AWS, MSFT, Google, Meta, Oracle (according to media articles *)	Big techs incl. NVIDIA (according to media articles **)	4 large + 3 mid (unnamed); Auto: Qualcomm, Visteon, HARMAN, JOYNEXT, DENSO, Astemo, Hyundai Mobis; Ford, GM	Not named (datacenter + edge)	Hyperscale + enterprise (not named)
Progress	5 signed, 5 in final talks	~10 concluded	16 SCAs	10 NBMs / 8 customers (5 April + 5 new)	On track to 50% by 2028
Collateral / pricing	Advance payments required (~25% received); price floors on mainstream products	Deposits; non-uniform, volatility-responsive pricing	\$22bn deposits/commitments (~\$18bn cash); take-or-pay ex-auto, non-cancelable; CO2 ceiling + floor; ~\$100bn RPO	\$93.9bn min. rev at floor; RPO \$59.8bn (\$91.1bn incl. post-Q); \$16.5bn guarantees; fixed + variable (floors/ceilings)	Deposits n/d; "price & profit first"

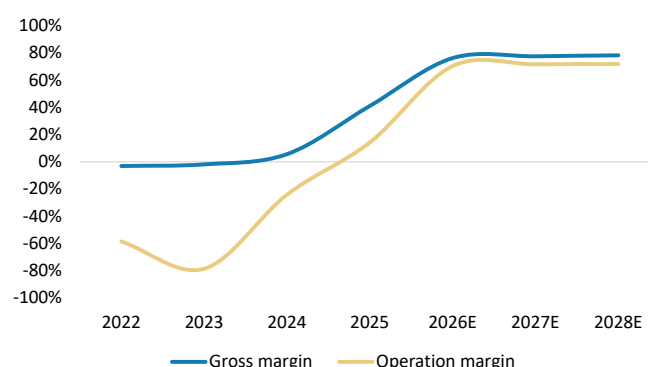
Source: Company data. *Not confirmed by Samsung, but named in [media articles](#). **Not confirmed by SK hynix, but named in [media articles](#).

Exhibit 2: CXMT's revenue to rise at a 140% revenue CAGR, 2025-2028e



Source: Company data, Morgan Stanley Research. E = Morgan Stanley Research estimates.

Exhibit 3: CXMT's OpM to be 70-72%, 2026-28e

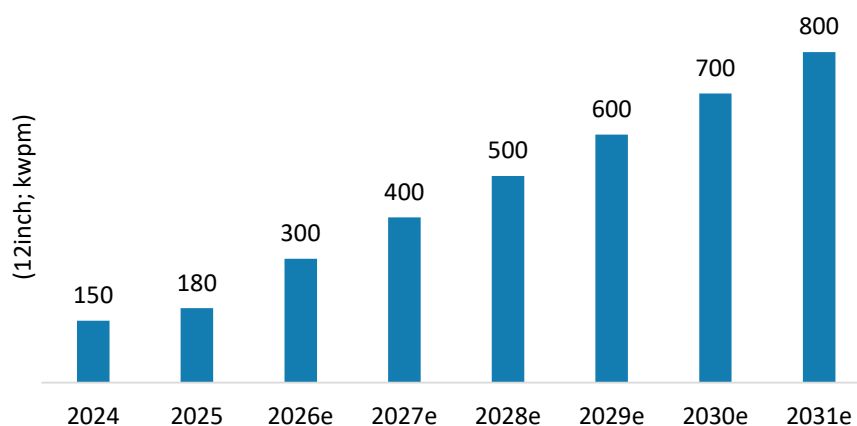


Source: Company data, Morgan Stanley Research. E = Morgan Stanley Research estimates.

Exhibit 4:

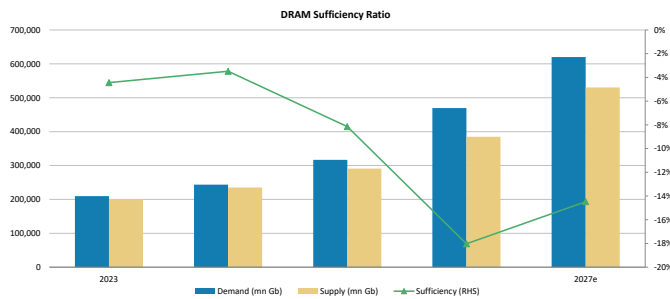
CXMT to expand capacity from 180kwpm in 2025 to 300kwpm in 2026, followed by annual capacity additions of approximately 100k wpm, reaching 800k wpm by 2031

CXMT's Total DRAM Capacity



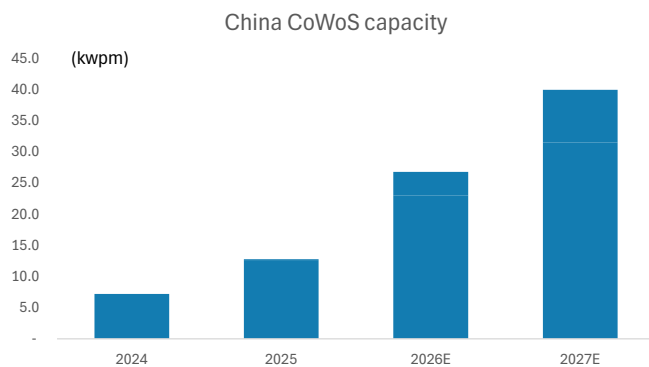
Source: Company data, Morgan Stanley Research. E = Morgan Stanley Research estimates.

Exhibit 5: Global DRAM supply sufficiency ratio: Supply growth continues to lag demand



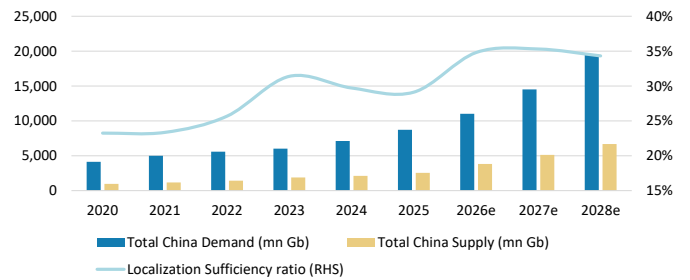
Source: Company data, Morgan Stanley Research. E = Morgan Stanley Research estimates.

Exhibit 7: China domestic CoWoS capacity to produce local AI GPU chips, which would need support from local HBM and LPDDR memory



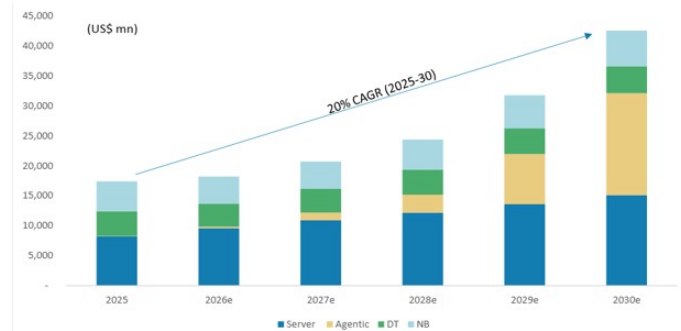
Source: Company data, Morgan Stanley Research. E = Morgan Stanley Research estimates.

Exhibit 6: China's domestic supply is even more constrained, providing significant room for CXMT to grow



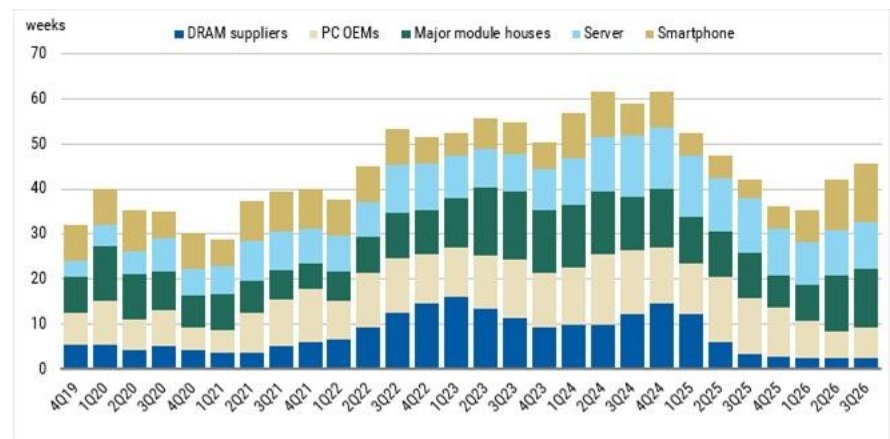
Source: TrendForce, company data, Morgan Stanley Research. E = Morgan Stanley Research estimates.

Exhibit 8: We estimate China's CPU TAM to rise to US\$42bn in 2030, which should drive substantial demand for CXMT DRAM



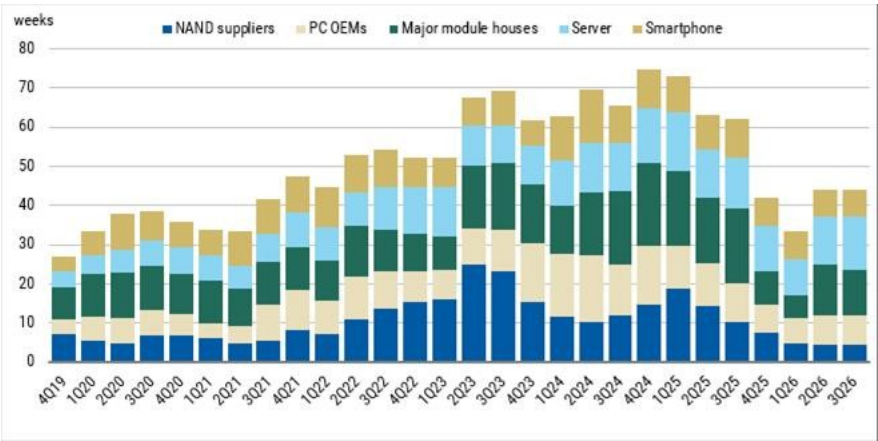
Source: Company data, Morgan Stanley Research. E = Morgan Stanley Research estimates.

Exhibit 9:
DRAM inventory



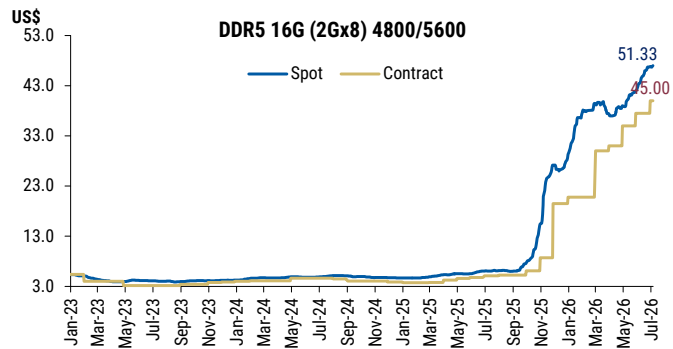
Source: Trendforce, Morgan Stanley Research

Exhibit 10: NAND inventory



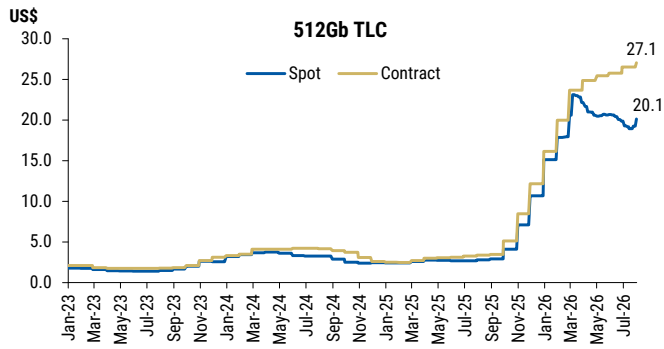
Source: Trendforce, Morgan Stanley Research

Exhibit 11: DRAM spot & contract prices



Source: Trendforce, Morgan Stanley Research

Exhibit 12: NAND spot & contract prices



Source: Trendforce, Morgan Stanley Research

Valuation Methodology and Risks

CXMT Corp (688825.SS)

Base case, residual income model. Key assumptions:

- 9.9% CoE (1.2 beta, 2.0% risk-free rate, and 6.6% risk premium)
- 51% payout ratio
- 11.0% medium-term growth rate
- 3% terminal growth rate

We believe these assumptions are justified, given CXMT's fast growth, capacity expansion, localization tailwinds and AI-memory exposure. Base case PT implies an 18.5x 2027e P/E vs global peers' 4.4x 2027e P/E; the premium reflects CXMT's stronger growth profile.

Risks to Upside

- resilient DRAM pricing, supported by AI demand
- faster-than-expected tech migration
- export control relief
- stronger demand from major customers

Risks to Downside

- earlier-than-expected global DRAM price declines
- CXMT delays in new products, HBM or 3D DRAM development
- tighter restrictions on China's fabs for semi equipment, materials, or servicing
- weaker demand from major China customers

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Not-Rated/Hold	3	0%	1	0%	33%	1	0%
Underweight/Sell	560	15%	97	10%	17%	217	12%
Total	3,674		936			1741	

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INDUSTRY COVERAGE: Greater China Technology Semiconductors

COMPANY (TICKER)	RATING (AS OF)	PRICE* (08/26/2026)
Charlie Chan		
ACM Research Inc (ACMR.O)	O (03/07/2023)	US\$79.77
Advanced Micro-Fabrication Equipment Inc (688012.SS)	O (11/06/2023)	Rmb368.05
Advanced Wireless Semiconductor Co (8086.TWO)	U (07/14/2025)	NT\$117.00
Alchip Technologies Ltd (3661.TW)	O (05/14/2021)	NT\$3,960.00
ASE Technology Holding Co. Ltd. (3711.TW)	O (09/15/2024)	NT\$592.00
Cambricon Technology Corporation (688256.SS)	O (04/27/2026)	Rmb1,020.00
CXMT Corp (688825.SS)	O (08/26/2026)	Rmb56.10
Global Unichip Corp (3443.TW)	O (06/24/2026)	NT\$6,125.00
GlobalWafers Co Ltd (6488.TWO)	E (05/19/2026)	NT\$949.00
Gudeng Precision (3680.TWO)	O (11/25/2025)	NT\$488.00
Hua Hong Semiconductor Ltd (1347.HK)	E (03/12/2026)	HK\$117.50
Iluvatar CoreX Semiconductor Co., Ltd. (9903.HK)	O (04/27/2026)	HK\$366.20
King Yuan Electronics Co Ltd (2449.TW)	O (03/03/2023)	NT\$244.00
MediaTek (2454.TW)	O (11/28/2025)	NT\$3,945.00
MetaX Integrated Circuits (688802.SS)	E (04/27/2026)	Rmb657.00
Nanya Technology Corp. (2408.TW)	O (05/28/2026)	NT\$517.00
NAURA Technology Group Co Ltd (002371.SZ)	O (11/06/2023)	Rmb700.70
OmniVision Integrated Circuits Group Inc (603501.SS)	E (11/17/2025)	Rmb84.00
Phison Electronics Corp (8299.TWO)	E (02/25/2026)	NT\$2,125.00
SG Micro Corp. (300661.SZ)	E (11/03/2025)	Rmb113.51
Silergy Corp. (6415.TW)	U (05/19/2026)	NT\$469.00
SMIC (0981.HK)	O (10/21/2025)	HK\$69.70
TSMC (2330.TW)	O (02/07/2022)	NT\$2,415.00
UMC (2303.TW)	O (05/19/2026)	NT\$123.50
Vanguard International Semiconductor (5347.TWO)	E (01/14/2026)	NT\$152.00
WIN Semiconductors Corp (3105.TWO)	U (07/14/2025)	NT\$405.00
Daisy Dai, CFA		
ASMP Ltd (0522.HK)	O (07/24/2025)	HK\$162.90
China Resources Microelectronics Limited (688396.SS)	U (03/02/2026)	Rmb57.80

Empyrean Technology Co Ltd (301269.SZ)	E (01/17/2025)	Rmb94.30
Hangzhou Silan Microelectronics Co. Ltd. (600460.SS)	U (08/25/2025)	Rmb33.07
Hygon Information Technology Co., Ltd. (688041.SS)	O (07/03/2026)	Rmb230.96
Innoscence (2577.HK)	E (10/13/2025)	HK\$45.76
JCET Group Co Ltd (600584.SS)	E (01/16/2026)	Rmb73.62
Shanghai Fudan Microelectronics (1385.HK)	O (03/07/2025)	HK\$25.20
SICC Co Ltd (688234.SS)	O (03/20/2026)	Rmb104.83
StarPower Semiconductor Ltd (603290.SS)	E (05/14/2026)	Rmb91.04
Unigroup Guoxin Microelectronics Co Ltd (002049.SZ)	U (01/10/2023)	Rmb61.59
Universal Scientific Ind. (Shanghai) (601231.SS)	O (11/05/2025)	Rmb26.70
Yangjie Technology (300373.SZ)	O (06/10/2022)	Rmb91.55

Daniel Yen, CFA

AP Memory Technology Corp (6531.TW)	O (07/11/2025)	NT\$916.00
ASMedia Technology Inc (5269.TW)	U (10/03/2025)	NT\$1,455.00
Aspeed Technology (5274.TWO)	O (06/09/2025)	NT\$15,690.00
Egis Technology Inc (6462.TWO)	E (01/28/2026)	NT\$100.00
Elan Microelectronics Corp (2458.TW)	O (10/03/2025)	NT\$139.50
eMemory Technology Inc (3529.TWO)	O (08/18/2026)	NT\$2,410.00
Espressif Systems (688018.SS)	O (05/15/2023)	Rmb111.65
GigaDevice Semiconductor Beijing Inc (603986.SS)	O (05/15/2025)	Rmb392.50
Macronix International Co Ltd (2337.TW)	O (09/18/2025)	NT\$125.50
Montage Technology Co Ltd (6809.HK)	O (03/18/2026)	HK\$268.20
Montage Technology Co Ltd (688008.SS)	O (03/18/2026)	Rmb201.00
Novatek (3034.TW)	U (02/04/2026)	NT\$557.00
Nuvoton Technology Corporation (4919.TW)	U (11/10/2025)	NT\$121.00
Parade Technologies Ltd (4966.TWO)	O (05/27/2026)	NT\$576.00
Powerchip Semiconductor Manufacturing Co (6770.TW)	O (10/27/2025)	NT\$70.20
Realtek Semiconductor (2379.TW)	E (01/30/2026)	NT\$734.00
Shenzhen Goodix Technology Co Ltd (603160.SS)	U (07/14/2025)	Rmb48.30
Winbond Electronics Corp (2344.TW)	O (05/28/2026)	NT\$181.50
WPG Holdings (3702.TW)	O (03/16/2026)	NT\$108.00
WT Microelectronics Co. Ltd. (3036.TW)	O (01/27/2026)	NT\$196.50

Duan Liu

Dosilicon Co Ltd (688110.SS)	U (09/06/2024)	Rmb113.40
Shenzhen Longsys Electronics Co Ltd (301308.SZ)	E (02/25/2026)	Rmb364.20

Henry Zhao

Maxscend Microelectronics Co Ltd (300782.SZ)	U (01/11/2021)	Rmb76.87
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Tiffany Yeh

AllRing Tech Co. (6187.TWO)	O (09/23/2025)	NT\$1,300.00
FOCI Fiber Optic Communications Inc (3363.TWO)	O (01/15/2025)	NT\$650.00
Himax Technologies Inc (HIMX.O)	E (02/04/2026)	US\$13.67
Hon Precision (7769.TW)	O (04/17/2026)	NT\$6,335.00
MPI Corporation (6223.TWO)	O (04/17/2026)	NT\$5,040.00
Silicon Motion (SIMO.O)	O (05/06/2024)	US\$241.83
WinWay Technology Co Ltd (6515.TW)	O (04/17/2026)	NT\$6,025.00

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* Historical prices are not split adjusted.